



# China Internet & New Media

Global Markets Research

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EQUITY: INTERNET &amp; NEW MEDIA

## Takeaways from ByteDance FORCE AI Cloud Conference

### Video generation and coding emerging as key competitive arenas

#### Key takeaways

ByteDance's (unlisted) cloud business segment, Volcano Engine (VE), held a two-day conference for its industry partners on June 23 and June 24 to showcase its latest AI products. Among the offerings, the upcoming early-July release of Seedance 2.5, its video-generating tool, attracted the most attention. Meanwhile, the newly released foundation model series, Doubao Seed 2.1, represents ByteDance's solution for agentic tasks. VE management indicated that the Doubao Seed 2.1 series should provide ByteDance with an entry ticket into the AI coding arena.

Recent industry events hosted by major AI platforms including ByteDance and **Alibaba** (BABA US, Buy) highlight a strategic pivot toward AI coding and video generation. These two areas appear closer to scalable commercialization, whereas most other segments in the broader large language model (LLM) space still require continued incubation.

In the video-generation segment, ByteDance has maintained a strong position since the release of Seedance 2.0 earlier this year, according to ByteDance, adding that the upcoming launch of Seedance 2.5 would further solidify ByteDance's standing in this important vertical. According to VE management, Seedance 2.5 addresses key pain points in this field, such as extending the video output length from the existing 15 seconds per take to 30 seconds and upgrading the video quality to 4K resolution (Fig.1). With these significant advancements, Seedance 2.5 not only raises the bar for peers but also has the potential to reshape operational models for businesses in short dramas, advertising, and short-video ecommerce, according to VE management.

Comparatively, ByteDance's other business-oriented AI products have faced a more challenging adoption curve. In the AI coding field, while the latest Doubao Seed 2.1 Pro demonstrates stronger agentic abilities than its previous versions, our industry contacts suggest that ByteDance currently trails the tier-1 camp, which consists of GLM-5.2, Deepseek (unlisted), and Alibaba. However, our contacts also noted that an established leader has yet to emerge in the coding market, making it too early to declare a definitive winner. It is widely expected in the market that competition in the AI coding field will intensify significantly, potentially compressing the product upgrade cycle to 1-2 months from the previous 5-6 months.

Bytedance management cited a significant market share of nearly 50% in China's public cloud Model-as-a-Service (MaaS) market. According to our industry contacts, over half of this MaaS revenue is likely driven by its video-generating tool Seedance 2.0, while the remainder of the MaaS portfolio—particularly the foundation model, Doubao Seed—has thus far struggled to gain strong traction with business users, likely due to softer model performance. We will monitor whether the latest Doubao Seed 2.1 series can help the company gain ground.

Overall, we continue to view **Alibaba** as a more comprehensive AI cloud player, possessing a solid footing across all critical fields of the AI value chain. This encompasses AI chips (T-Head), robust CPU/GPU cloud infrastructure, the Bailian LLM marketplace, and the Qwen LLM, which remains one of the state-of-the-art models in China's LLM market.

We believe **Alibaba's** year-to-date weakness, currently trading at 13x CY27F PE (i.e., also FY28F), offers an attractive entry point for long-term investors, although we caution that the June quarter e-commerce Customer Management Revenue (CMR) may surprise on the downside (*please see our preview report*).

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Finally, we believe the industry-wide shift toward business-oriented solutions (video generation and coding) may lead to a temporary easing of competition in consumer-facing AI chatbots. Ongoing chip supply constraints may force AI platforms to concentrate their resources on a single battlefield at a time. This context helps explain ByteDance's decision to launch the subscription-based Doubao AI chatbot, arriving at a time when its free version has already garnered over 150mn daily active users (DAUs), according to QuestMobile.

### Seedance 2.5: A leap forward in performance

Seedance 2.5 represents the most distinct commercial product highlight from the conference. Management positioned Seedance 2.0 as the first ByteDance video model to cross the “production threshold,” marking a shift in AI video from 5 to 10 seconds experimental user-generated content (UGC) to longer, more realistic, and more controllable commercial videos. Seedance 2.5 is designed to push these capabilities further into enterprise-grade video production.

The first major upgrade is video duration. According to management at the conference, comparable video models in the market generally support up to 15 – 20 seconds of direct output, while Seedance 2.5 supports up to 30 seconds of native single-video generation.

The second upgrade is multi-reference capability. Seedance 2.5 can utilize up to 50 multimodal reference assets in a single generation workflow. This is critical for professional users, as commercial content production typically requires consistency across characters, products, scenes, and style. Enhanced reference control makes the model significantly more practical for real-world production, reducing the likelihood of generating visually impressive but inconsistent clips.

The third upgrade is controllable editing. Seedance 2.5 allows creators to modify specific parts of a video while keeping the broader scene stable. Examples include changing the background, replacing the displayed merchandise, adjusting the model, or localizing the creative for different markets. This functionality is particularly relevant for advertising and e-commerce, where the same base creative often requires multiple iterations based on product, price point, country, language, user segment, or campaign theme.

Potential business use cases are broad, spanning advertising, movies, short dramas, and e-commerce. In our view, Seedance 2.5 may serve as a particularly useful tool for TikTok Shop merchants selling merchandise to various international markets. The model can create product showcase videos in multiple languages and localized styles more efficiently. This could improve the content supply for cross-border merchants, lower creative production costs, and potentially lift conversion rates. For TikTok Shop, we believe the strategic value lies not only in improved AI video technology but also in establishing a more scalable content production engine for global merchants.

**Fig. 1: Seedance 2.5 vs its previous version**

| Feature / Dimension                | Seedance 2.0                                                                | Seedance 2.5<br>(Latest Breakthroughs)                                                         |
|------------------------------------|-----------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|
| <b>Max Duration per Generation</b> | 15 seconds                                                                  | 30 seconds (Doubled)                                                                           |
| <b>Max Reference Inputs</b>        | Up to 12 reference materials per prompt                                     | Up to 50 reference materials per prompt (images, video, audio)                                 |
| <b>Resolution &amp; Quality</b>    | 720p / 1080p HD output                                                      | Upgraded quality, expected to support up to 4K resolution                                      |
| <b>Consistency &amp; Control</b>   | Director-level control, multi-shot character consistency, native audio sync | Significantly enhanced creative control, accurately parsing intent from massive reference data |

Source: Company website, Nomura research



# Appendix A-1

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|-----------------------|---------|-----------|-------------|--------------|---------------|-------------|
| Alibaba Group Holding | BABA US | USD 99.80 | 24-Jun-2026 | Buy          | N/A           | A10         |

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USD 99.80 (24-Jun-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

**Valuation Methodology** We value Alibaba's China Ecommerce Group at USD89bn, based on 5x FY27F P/E; its AliCloud business at USD270bn, based on 7x FY28F P/S; and its net valuation of non-core assets (including international ecommerce business) at USD40bn. The resulting TP is USD178. The benchmark index for this stock is Nasdaq Composite.

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